



CHAPTER vii.

An Act to amend the Colonial and Foreign Banks Guarantee Fund Incorporation Act 1899 and for other purposes. A.D. 1914.
[30th April 1914.]

WHEREAS the Colonial and Foreign Banks Guarantee Fund (in this Act called "the Fund") was established in the year 1866 for the purpose of providing by means of mutual co-operation amongst the persons employed in banks transacting business in the colonies of the United Kingdom and elsewhere abroad a fund to guarantee their employers against losses arising from any act of dishonesty or fraudulent misconduct on the part of the persons employed:

And whereas it was provided by the rules and regulations then made for the management of the Fund that any person employed or about to be employed in any bank transacting business in any of the Colonies of the United Kingdom or in any foreign bank whose chief office or principal place of business was in Great Britain or Ireland might become a subscriber to the Fund and that the management and control of the Fund should be in the hands of the trustees of the Fund for the time being (in this Act called "the trustees") and of the officers appointed by them:

And whereas by the Colonial and Foreign Banks Guarantee Fund Incorporation Act 1899 (in this Act called "the Act of 1899") the trustees were incorporated by the name of the Colonial and Foreign Banks Guarantee Corporation (in this Act called "the Corporation") and the management of the affairs of the Corporation was vested in a board of management (in this Act called "the board") constituted as by the said Act provided:

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— And whereas by the same Act the lands stocks funds and securities and other personal estate then held by the trustees were transferred to and vested in the Corporation and all debts liabilities and obligations due from or binding upon the trustees as such trustees were transferred to and made binding upon the Corporation :

And whereas by the same Act the Corporation are authorised to guarantee against loss as aforesaid any bank transacting business in any of the Colonies of the United Kingdom or elsewhere abroad which has its chief office or principal place of business in Great Britain or Ireland or has in London two or more directors either as an advisory board or otherwise :

And whereas the said Act further declared that those persons who were for the time being guaranteed to their employers as provided thereby or by the terms of the regulations of the Corporation for the time being in force and those persons who at the time of the passing of the said Act were guaranteed by the Fund under a policy or policies then existing should be members of the Corporation :

And whereas by the Colonial and Foreign Banks Guarantee Corporation Act 1913 (in this Act called "the Act of 1913") the board were (inter alia) empowered to undertake the business of any other corporation society or company so far as such business consisted of guaranteeing the employers of persons employed in banks against losses as aforesaid and the Act of 1899 was thereby further amended as is therein more particularly set forth :

And whereas it is expedient to confirm certain policies issued by the trustees and by the Corporation to or in favour of certain banks transacting business in the colonies or elsewhere abroad but not having their chief office or principal place of business in Great Britain or Ireland nor having two or more directors in London :

And whereas it is expedient that the class or classes of banks to which the Act of 1899 applies should be enlarged and that the provisions of that Act relating to the investment of the moneys of the Corporation should be amended and that the powers of the Corporation should be extended in such manner as is by this Act provided :

And whereas the purposes aforesaid cannot be effected without the authority of Parliament :

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May it therefore please Your Majesty that it may be enacted A.D. 1914.
 and be it enacted by the King's most Excellent Majesty by and
 with the advice and consent of the Lords Spiritual and Temporal
 and Commons in this present Parliament assembled and by the
 authority of the same as follows:—

1. This Act may be cited as the Colonial and Foreign Banks Guarantee Corporation Act 1914 and this Act and the Act of 1899 and the Act of 1913 may be cited together as the Colonial and Foreign Banks Guarantee Corporation Acts 1899 to 1914. Short and collective titles.

2.—(1) For the purposes of the Colonial and Foreign Banks Guarantee Corporation Acts 1899 to 1914 and any regulations from time to time in force under the said Acts or any of them the expression "Colonial or Foreign Bank" means— Amending section 2 of Act of 1899 and regulations of Corporation.

(A) Any bank transacting business in any British Possession or in Egypt;

(B) Any bank having its chief office or principal place of business in Great Britain or Ireland and having a branch office or place of business or an agency and transacting business abroad; and

(C) Any bank transacting business abroad and having a branch office or place of business in Great Britain or Ireland;

and which shall be admitted by the Corporation.

(2) So much of section 2 of the Act of 1899 and of the First Article in the schedule thereto as comprise definitions of "Colonial or Foreign Bank" are hereby repealed.

3. No policy issued before the passing of the Act of 1899 by or on behalf or in the names of the trustees and no policy issued before the passing of this Act by or on behalf or in the name of the Corporation to any bank transacting business in any of the colonies of the United Kingdom or elsewhere abroad and having an office or place of business in Great Britain or Ireland shall be deemed to have been or to be invalid or voidable by reason that such office or place of business may not have been the chief office or principal place of business of such bank or that such bank may not have had in London two or more directors either as an advisory board or otherwise nor shall any act which has been or shall hereafter be done or any Confirming certain policies.

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A.D. 1914. — payment which has been or shall hereafter be made to or out of the Fund or to or by the trustees or the Corporation or any member thereof or the board in relation to any such policy be deemed to have been or to be invalid or voidable for any such reason aforesaid.

As to continuance of certain policies.

4. No policy which has been or shall be issued by or on behalf or in the name of the trustees or the Corporation to a colonial or foreign bank shall be deemed to have become or shall hereafter become void or voidable solely by reason that such bank has subsequently to the issue of such policy ceased or shall hereafter cease to be a colonial or foreign bank.

Investment of funds.

5.—(1) Sections 12 and 13 of the Act of 1899 are hereby repealed and in lieu thereof the provisions of this section shall have effect and the Act of 1899 shall be read and construed accordingly.

(2) The board may deposit or lodge at any bank at interest or otherwise and in the name of the Corporation any moneys of the Corporation pending the investment thereof.

(3) Subject as aforesaid and as is by this section provided such of the moneys of the Corporation as shall not in the opinion of the board be required for current demands and expenses and any income arising from any such moneys and not so required may (and to such extent in any case as the board may determine) be invested in such manner as the board may in their absolute discretion think fit or may be deposited by way of fixed deposit at interest with any bank and the board may from time to time (but within the limitations of this subsection) vary such investments or deposits at such discretion Provided always that the investments of the funds of the Corporation (including any fixed deposit) shall always consist as to at least two-third parts thereof (taken at the values at which they stand for the time being in the books of the Corporation) of stocks funds or securities for the time being authorised by law for the investment of trust funds.

(4) All such investments and fixed deposits (other than investments in securities to bearer or other securities transferable by delivery) shall be made and stand in the name of the Corporation.

Deposit of securities.

6. The board may deposit or lodge any securities or instruments of the Corporation or the board (including securities

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to bearer) with any bank or other firm or company for safe custody or receipt of any dividends interest or other moneys payable in respect thereof and may make payments out of the funds of the Corporation to any such bank firm or company for or in respect of any such deposit custody or receipt. A.D. 1914.

7. Save and except as by this Act is specially provided nothing herein contained shall be deemed to render valid or invalid any act done or proceeding pending by or against the Corporation or any member thereof or by or against the board or the trustees before or at the date of the passing of this Act. Saving pending proceedings.

8. A copy of this Act shall so soon as the same has received the Royal Assent be forthwith sent to the chief office or principal place of business in Great Britain or Ireland of each bank whose employees shall be members of the Corporation. Copy of Act to be sent to banks.

9. All costs charges and expenses of and incident to the preparing for obtaining and passing of this Act or otherwise in relation thereto shall be paid by the Corporation. Costs of Act.

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